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E Ink Holdings Inc. | Asia Pacific

Read-across from Vusion's 2Q26 Earnings Call

Positive implications for E Ink from Vusion's comments on strong order entries into 2H26 with further acceleration in 4Q26. But with no strong catalyst in sight, we stay EW despite trough level valuations.

What's new:

- VusionGroup (VU.PA, Not Covered), one of the major system integrators for electronic shelf label (ESL) systems, reported its 1H26 audited results (see [here](#) for read-across from its 2Q26 sales).
- By region, growth in 1H26 was mostly driven by America and improving momentum in Europe. For EMEA, momentum was good with revenue and order intakes growing. Management expects higher growth and more project wins in 2H26, in the grocery sector and other verticals, and targets 15-20% of growth in 2H26. For Americas, it sees strong pipeline with major North and South American retailers, thus also anticipates good momentum into 2H26 and strong future adoption in coming years.
- Management reiterated its 2026 guidance of 15-20% YoY (excluding the FX and tariff impacts). It aims to grow VAS revenue by ~ 40% YoY to reach ~20% of its total revenue in 2026 (guided to rise to 30% in 2027).
- On order entries, Vusion management targets over €1bn in 2H26, with new flows increasing over the coming months leading to a particularly strong 4Q26. It believes these could further fuel growth into 2027.
- It maintained the sales target of €2.2bn for 2027, driven by existing/new customers, new solutions and broadened geographies. In the longer term, it believes topline growth will be driven by increasing penetration of ESL (from 20% now to 50%) and VAS (which is more under-penetrated vs. ESL). This is despite the strong revenue growth in 2025-26 pulling in some momentum from 2028-29.

Our view:

- Positive comments from Vusion on the robust order entries into 2H26 and more deployment in the retail media are consistent with E Ink's view on the solid ESL and signage demand for the year.
- That said, we think E Ink's CE business will remain a drag.
- Despite E Ink's trough valuation at 12x 2027e P/E and our belief in e-paper demand in various applications, we see no strong catalysts in the near term, and stay EW.

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang

Equity Analyst

Derrick.Yang@morganstanley.com

+886 2 2730-2862

Vivi Huang

Research Associate

Vivi.Huang@morganstanley.com

+886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA

Equity Analyst

Andy.Meng@morganstanley.com

+852 2239-7689

E Ink Holdings Inc. (8069.TWO, 8069 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight			
Industry View	In-Line			
Price target	NT\$150.00			
Up/downside to price target (%)	4			
Shr price, close (Sep 21, 2026)	NT\$144.50			
52-Week Range	NT\$251.00-135.00			
Sh out, dil, curr (mn)	1,150			
Mkt cap, curr (mn)	NT\$166,199			
EV, curr (mn)	NT\$171,756			
Avg daily trading value (mn)	NT\$1,353			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	9.14	11.57	12.57	14.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	10.09	11.56	13.31	14.72
Revenue, net (NT\$ mn)	36,116	40,294	46,095	53,387
EBITDA (NT\$ mn)	13,458	16,276	18,570	21,698
ModelWare net inc (NT \$ mn)	10,515	13,307	14,457	16,987
P/E	21.7	12.5	11.5	9.8
P/BV	3.3	2.2	2.0	1.9
RNOA (%)	13.8	14.4	16.5	19.4
ROE (%)	18.2	19.0	18.9	20.7
EV/EBITDA	17.5	10.2	8.7	7.1
Div yld (%)	3.0	5.2	5.7	6.7
FCF yld ratio (%)**	4.2	7.6	8.2	9.6
Leverage (EOP) (%)	2.1	(5.7)	(11.2)	(17.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

E Ink Holdings Inc. (8069.TWO)

Base case, 12x 2027e P/E. We believe this valuation methodology best captures E Ink's earnings growth momentum. We view our target multiple of 12x as fair, considering our estimated 17% earnings CAGR for 2025-28. The implied PEG of 0.7x is largely in line with its typical level in 2022-25, when the stock was trading at an average P/E of 22x one-year forward consensus EPS with a 37% earnings CAGR.

Risks to Upside

- Firmer-than-expected ESL orders
- Stronger demand for e-readers and e-notes
- Better macro conditions
- Milder competition
- Brisker inventory digestion

Risks to Downside

- Softer-than-expected ESL orders
- Slower demand for e-readers and e-notes
- Macro headwinds
- Intensified competition
- More protracted inventory digestion

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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E Ink Holdings Inc. (8069.TWO) - As of 09/22/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/1/21 : NA/I; 6/23/22 : O/I; 11/15/22 : E/I; 5/17/23 : O/I; 4/30/24 : E/I; 6/10/24 : O/I; 5/8/25 : E/I; 8/8/25 : O/I; 1/7/26 : E/I; 5/11/26 : O/I; 8/10/26 : E/I
Price Target History: 6/23/22 : 275; 8/17/22 : 280; 11/15/22 : 200; 3/9/23 : 185; 5/17/23 : 250; 11/16/23 : 217; 2/19/24 : 249; 3/7/24 : 280; 4/30/24 : 200; 6/10/24 : 260; 8/2/24 : 360; 5/8/25 : 250; 5/22/25 : 240; 8/8/25 : 280; 8/14/25 : 310; 11/19/25 : 265; 1/7/26 : 205; 5/11/26 : 250; 8/10/26 : 150

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/21/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$40.28
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb193.76
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.52
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.42
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.82
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb456.73
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$952.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.80
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.38
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.58
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,400.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.33
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.54
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.09
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$59.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb54.44
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.04
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.37
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb73.72
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$43.92
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.45
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$67.35
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb279.26

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.86
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.58
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb458.99
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$185.50
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb115.02
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.61
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb941.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,250.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.54
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.15
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,840.00
Advantech (2395.TW)	O (01/20/2021)	NT\$706.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,240.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,415.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$33.35
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,300.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.07
Chenbro (8210.TW)	O (07/23/2025)	NT\$900.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,375.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,875.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$144.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$68.80
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,415.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$334.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,800.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.83
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$288.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.08
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.72
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb214.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$946.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$211.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$4,895.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.41
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb63.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$368.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,045.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.85
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$48.76
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,875.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$35.74
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,590.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,060.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$344.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb146.27
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb395.02
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,020.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$572.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$186.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,150.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$557.00
Zhen Ding (4958.TW)	++	NT\$470.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$491.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,435.00

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